FinSight Business Insights

Insight 1 [STRATEGIC]:

Observation: A high correlation (1.00) exists between outlier_iqr_REGION_POPULATION_RELATIVE and outlier_z_REGION_POPULATION_RELATIVE.

Interpretation: Changes in outlier_iqr_REGION_POPULATION_RELATIVE are strongly mirrored by changes in outlier_z_REGION_POPULATION_RELATIVE, indicating multicollinearity.

Impact: Keeping both features in a predictive model might inflate variance without adding new information.

Recommendation: Consider dropping or combining outlier_iqr_REGION_POPULATION_RELATIVE and outlier_z_REGION_POPULATION_RELATIVE in feature engineering phases.